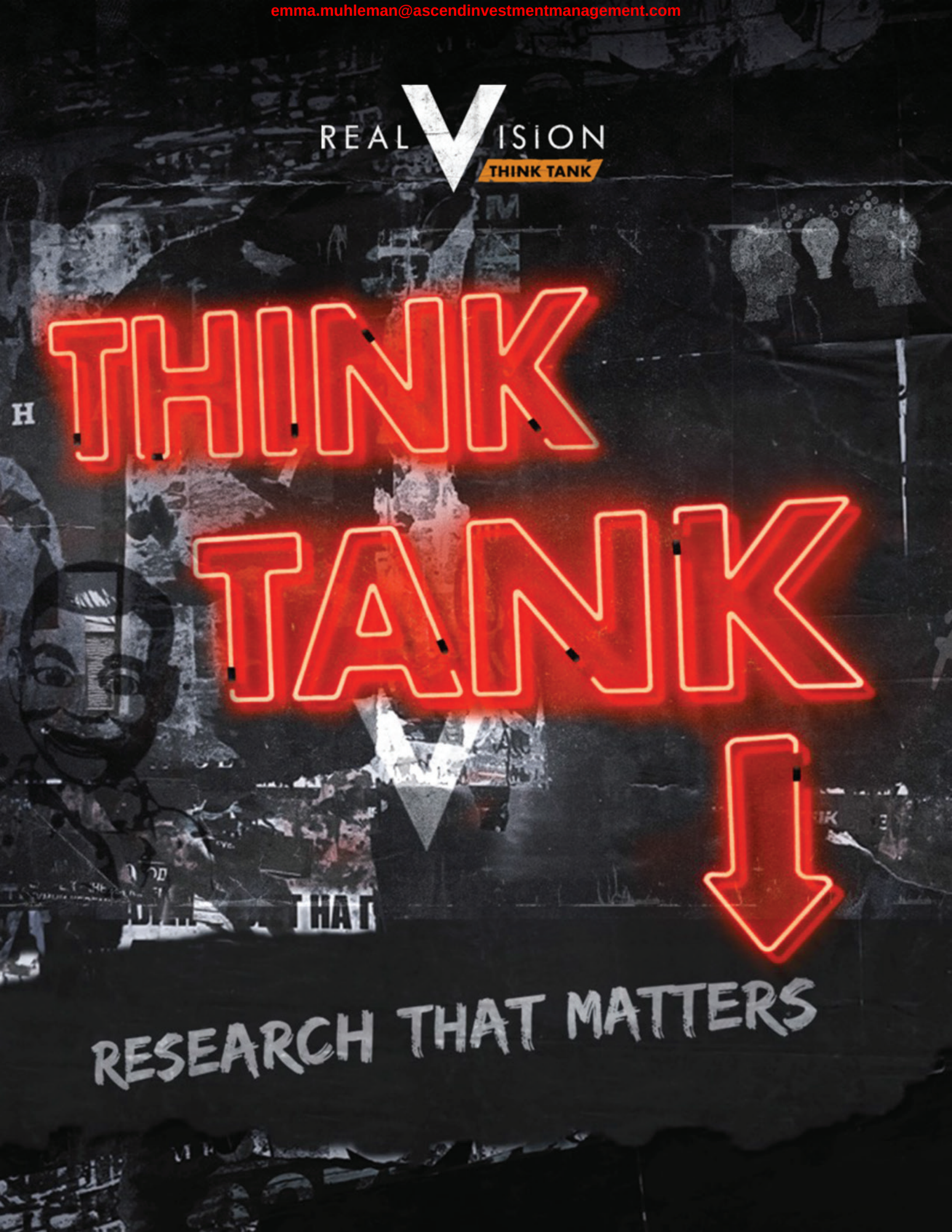
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THE DISTILLERY

A distillation of the thinking of 30 of the world's best financial researchers combined with an analysis of the most important market drivers each week.

APRIL 11, 2018

Hello,

Welcome to ***The Distillery***, packed with all the latest developments and the condensed wisdom of the best independent thinkers in finance, economics, and markets.

Here are this week's ingredients:

- **Charts that matter: Yield curves and cracks in EM**
- ***The Market Drivers*: Shifting framework and valuations**
- ***On The Radar*: Delusions of demography**
- ***P.S.* LIBOR ETF**

In The Spotlight

- **Things that make you go hmmm – The Demolition of the Wardenclyffe Rower**
- **Stray Refections – Noisy tech troubles but a sound economy**

Take a neat shot of the markets with us now.

Milton



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THE WEEK IN CHARTS

A distillation of the key themes that are driving markets. Not what happened, but why it happened. Hear what are our contributors are saying and why they're saying it.

YIELD CURVE: THE LONG-END ISN'T BUYIN' WHAT THE FED'S SELLIN'

As the broad narrative around *"global, synchronized growth"* and *"reflation"* has become so prevalent, among macro strategists, everyday pundits, and famous bond vigilantes, many were left scratching their heads as the so-called "Bond Bear Market" has yet to materialize. Much confusion exists about the shape of the curve.

Bond vigilantes that came out of hiding, asserted that we have officially entered the end of the 5,000+ year period of declining yields and thus bond prices would fall as yields turned upward. But as the Fed continues to guide short-rates, the yield curve's reaction (or more importantly, the lack thereof on the long-end) is something to pay attention to.

US 10Y YIELD MINUS US 2Y YIELD (2S10S CURVE)



Source: RV TT & Bloomberg

The long-end is telling us it believes the economy cannot withstand much from a tightening perspective and as a result, investors have placed bets accordingly (i.e. that Powell will ultimately reverse course, potentially reducing rates or moving to ZIRP). The bond market is whispering subtly (vicariously through the yield curve): *"you're going to raise rates +25bps every quarter and roll-off the balance sheet simultaneously, in the final innings of the business cycle just as the market is flooded with new Treasury supply and deficits begin to surge? NOPE. THE BOND MARKET IS NOT BUYING IT."*

Perhaps Mr. Powell does not fully appreciate the magnitude of the consequences that a tightening, based on the current schedule, is likely to produce. Few would argue against it causing the equity markets to take a major hit. But with the passage of the spending bill, the budget deficits, and growing debt bomb, if US Treasuries yields were to double – it would have a large impact on the deficit and growing national debt a few years down the line, devastating the country's ability to make good on its entitlements and pension obligations and other "off-balance sheet" liabilities of the Federal government. Equity markets may do more than just wobble.

Bond market investors don't really buy into the "global, synchronized growth and reflationary" narrative beyond a normalization from low levels. And while inflation is most definitely present, it really isn't strong by historical standards and may not persist. Not to mention, it is widely priced in, with an extension to the already record short position in US 5Y treasury futures.

NET SPECULATIVE SHORT POSITION IN US 5Y TREASURIES

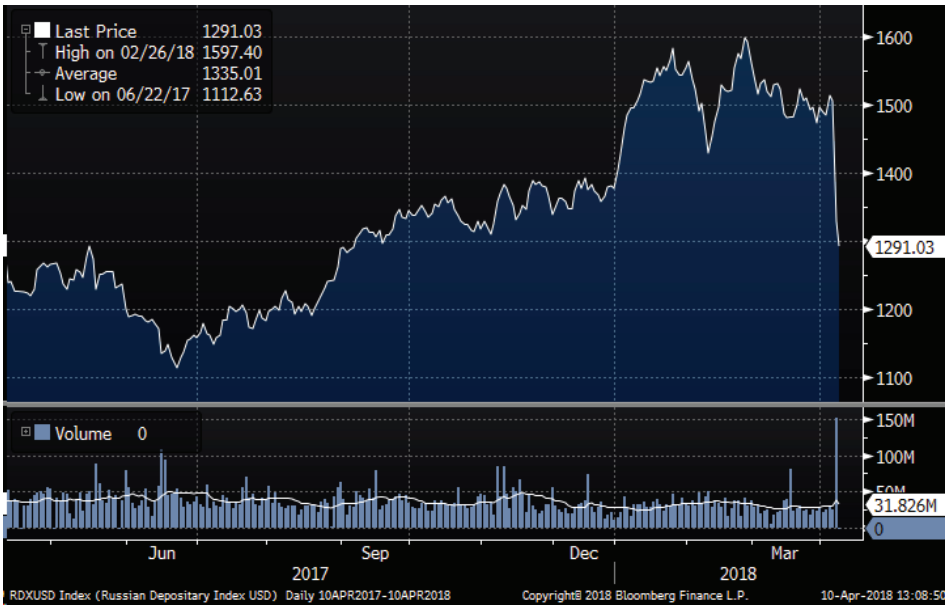


Source: RV TT & Bloomberg

IDIOSYNCRATIC RISKS ARE OFTEN THE CALLING CARD OF SYSTEMIC ISSUES

The most dramatic move over the last week was the hit to Russian equities from the latest round of sanctions. Previous sanctions elicited a far smaller reaction. This time may be more draconian than in the past, but the magnitude of the decline may reflect deteriorating support from synchronised global growth.

BANG GOES THE RUSSIA INDEX: RDXUSD



Source: RV TT & Bloomberg

The Turkish lira also continued to weaken, recently accelerating a very long trend.



Source: RV TT & Bloomberg

Russia and Turkey are idiosyncratic stories – specific issues with their own root cause. When multiple idiosyncratic risks were building momentum in 2006-2008, they turned out to be different symptoms of the same curse. The bigger the reaction to an idiosyncratic risk, the less likely it is to be isolated and the more likely it is to be a reflection of systemic issues. What we've always known about Tesla now suddenly matters. We'll be watching for more 'idiosyncratic' issues to surface.

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THE MARKET DRIVERS

What are the big themes that are getting our contributors excited or keeping them awake at night? These are the trends you can't afford to miss.

SHIFTING FRAMEWORK

Global markets today incorporate extreme positioning, a new volatility regime, rising correlations, geopolitical tensions, a China that is sidestepping the dollar in the oil markets and earnings growth estimates that many consider imposing.

When earnings are estimated to grow 20% or 25% year-on-year, one should have a feeling of caution and may want to be taking risk off the table. It is best to look for markets in which the dominant narrative is not one of exceptional growth, with rising cash flow due to tax cuts and deregulation. The critical lesson here is to understand the importance of what's currently required simply to meet investor expectations. The rates of growth expected by others are the barometer for which the company must surpass. Thus higher estimates do not necessarily translate to better prospects for stock markets. And so, we present below, **the consensus EPS growth for the S&P 500 over the coming year, with expectations of +30% EPS growth year-over-year.**

BLOOMBERG CONSENSUS FORECASTS (S&P 500 AGGREGATE)

S&P 500 Index
Periodicity A Flavor F12 View Growth Currency USD

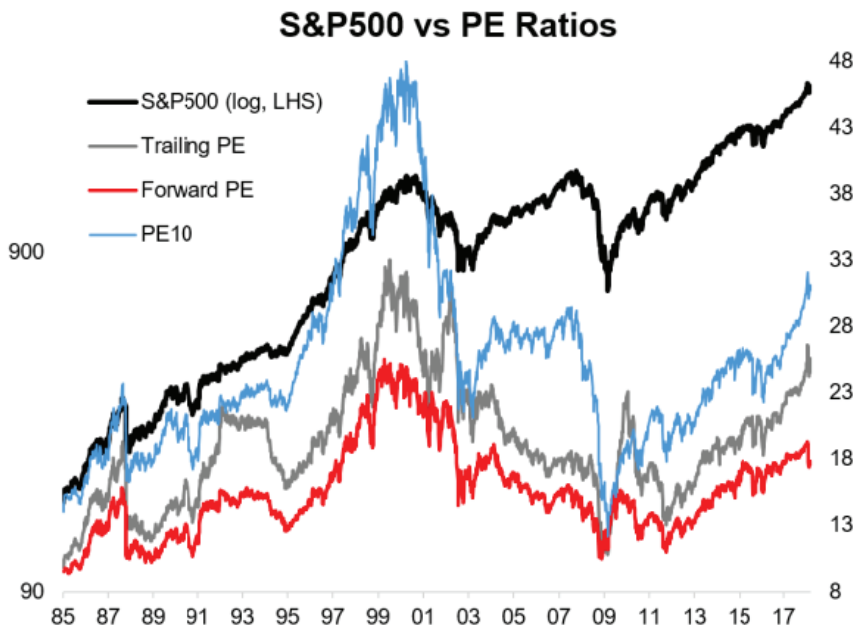
Measure	Actual	F12 Est	Growth	Y+1 Est	Growth	Y+2 Est	Growt
1) Earnings Per Share	123.98	161.05	29.89%	172.45	7.08%	189.77	10.05
2) EPS Positive	125.42	161.37	28.66%	172.71	7.03%	189.92	9.97
3) Cash Flow Per Share	185.87	230.53	24.03%	242.24	5.08%	266.09	9.85
4) Dividends Per Share	51.63	56.96	10.32%	57.63	1.17%	61.63	6.95
5) Book Value Per Share	817.85	878.33	7.40%	948.74	8.02%	1036.89	9.29
6) Sales Per Share	1217.91	1319.69	8.36%	1360.02	3.06%	1427.01	4.93
7) EBITDA Per Share	233.17	280.40	20.26%	294.80	5.14%	317.70	7.77
8) Long Term Growth	0.00	10.61	0.00%	0.00	0.00%	0.00	0.00
9) Net Debt Per Share	345.61	471.65	36.47%	440.35	-6.64%	309.80	-29.65
10) Enterprise Value Per Share	3007.68	3120.72	3.76%	3089.38	-1.00%	2952.63	-4.43

Source: RV TT & Bloomberg

Investors should not be feeling exhilarated. The most logical response should be concern. After all, it wouldn't be radical to say that it's not going to be an easy feat, achieving an average EPS growth in 2018 across the S&P 500 of +30% year-over-year. And if the S&P 500 achieves this menacing task, it is increasingly likely to be the end of the calm before the storm. At a time when debt levels have stifled productivity globally, central banks are still relatively accommodative but have reversed engines to become net liquidity takers. LIBOR-OIS spreads have surged to crisis-era highs (see last week's Distillery), and valuations on earnings estimates are high. To put it nicely, **this should be highly concerning.**

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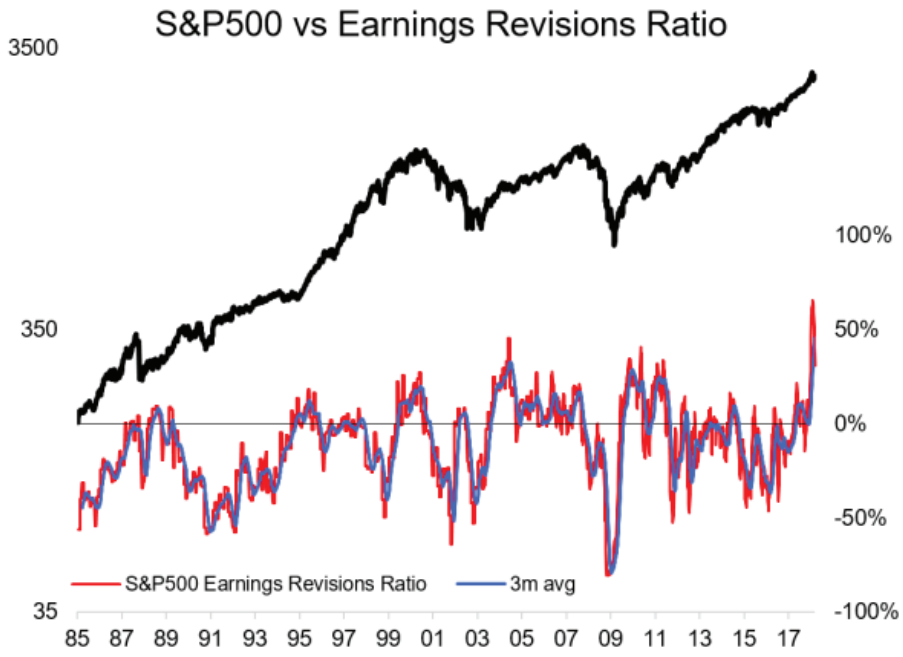
US equity valuations remain elevated, even after a slight reset. Expectations are high.



Source: Topdown Charts, Datastream, I/B/E/S

One should proceed with caution at times when analysts continuously revise earnings estimates upwards. As demonstrated below, analysts may have outdone themselves, using tax cuts as support for an earnings revisions ratio (to the upside) on the S&P 500 that is attempting to climb down from a record high...

US earnings outlook given a shot from tax cuts, earnings revisions ratio at a record high.

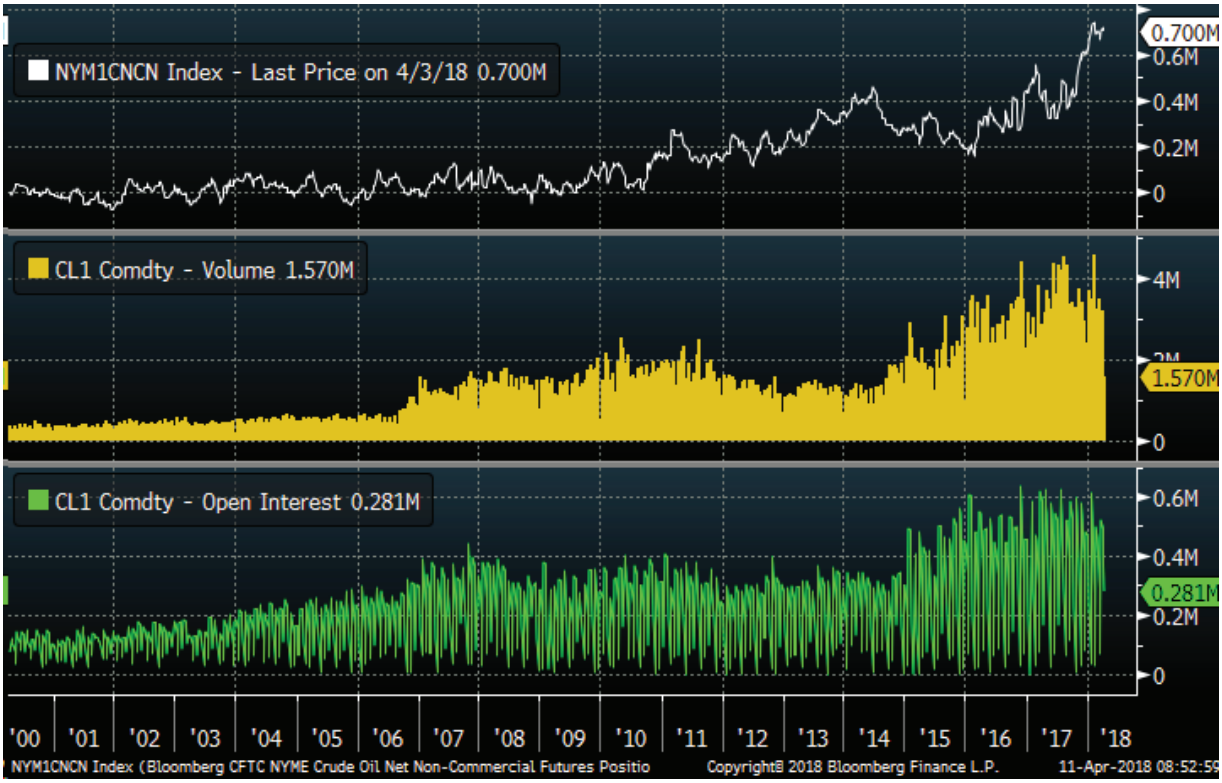


Source: Topdown Charts, Datastream, I/B/E/S

As we highlighted earlier, the inflation and synchronized global growth narrative has become ubiquitous. It has, naturally, made its way into the commodity markets.

In addition to copper with all-time positioning speculative long, the oil market is also close to its largest ever speculative long (7x higher than 2010, since when the open interest and average daily volume have only doubled).

SPECULATIVE POSITIONING NET LONG OIL (PLUS VOLUME AND OPEN INTEREST)



Source: RV TT & Bloomberg

HIGHER LIBOR-OIS IS LIKELY HERE TO STAY

The focus is squarely on the continued rapid ascendance of LIBOR, after hitting levels not seen in over nine years since the financial crisis, relative to the OIS (a proxy for the Fed Funds Rate). The US 3-month LIBOR-OIS spread continues to widen to cautionary levels...

Although LIBOR-OIS should stabilize, it is unlikely to return to its late 2017 levels. LIBOR is linked to trillions of USD of loans and its rise over and above OIS will have long-term effects across the economy.

HIGHER LIBOR-OIS IS LIKELY HERE TO STAY



Source: RV TT & Bloomberg

The US dollar bear narrative has been endless, and while it may be correct (and likely is) on a secular view (very long-term), it's been holding its own for the last few weeks, and recently broke through the 50DMA. But now, we're stuck sort of in this range, so it remains to be seen whether the dollar breaks higher.

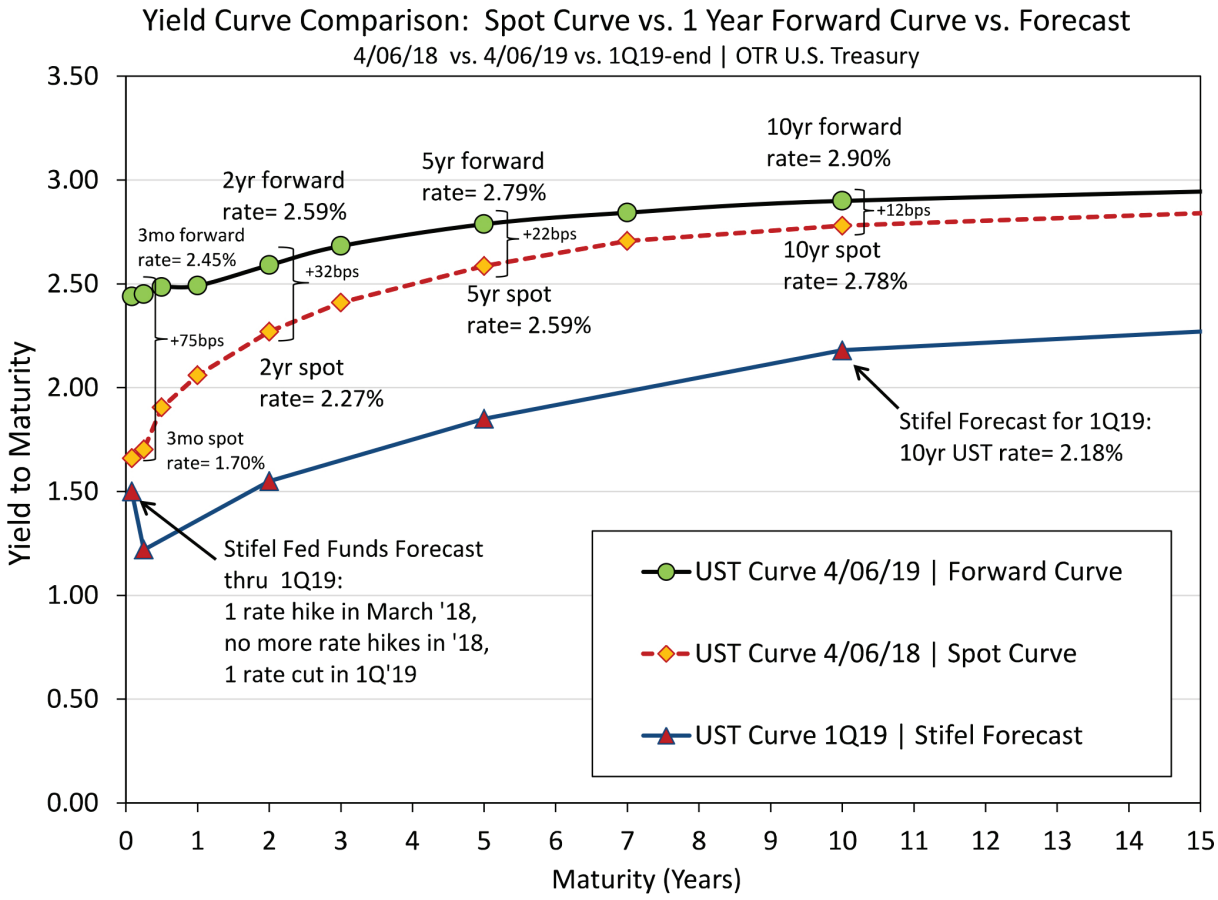
DXY INDEX



Source: RV TT & Bloomberg

Despite the safe-haven status and relatively high yields on U.S. Treasuries, there are junk bond indexes in Europe pricing in lower yields. But it is the irony of the world we live in. Just when over $7 trillion in bonds in the euro area pay negative yields, the dollar can't seem to catch a bid (or hold onto one), despite the rest of the world's central banks remaining accommodative while the Fed pushes ahead.

This chart of the yield curve (spot and forward) gives you an idea of what's going on in the bond market today.



Source: Stifel Nicolaus

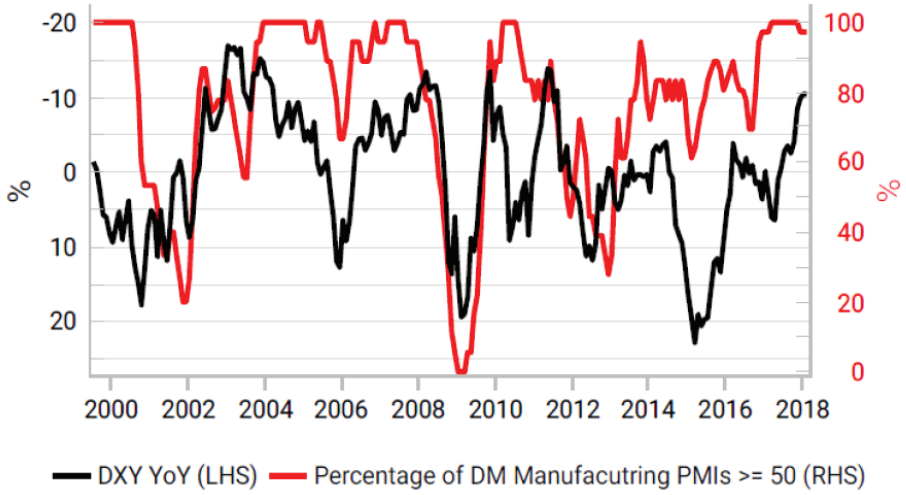
It's unusual when US yields are rising and significantly higher than those in Europe and yet the dollar can't catch a bid.

But the dollar story doesn't end here.

The USD's performance reflects the performance of the US economy relative to a global economy that has been steaming ahead. **A peak and reversal in global growth could be the catalyst for a stronger USD.**



PERCENTAGE OF DM PMIS IN EXPANSION VS DXY YOY (REVERSED)



Source: Variant Perception

Will financial conditions continue to tighten if the Fed winds down its balance sheet? Now that will be one drag on liquidity. And it would be less severely felt if it weren't a shift of injecting liquidity to pulling liquidity within the span of about 16 months. This can spillover into financial conditions, and it can also spillover into volatility. **And, as much as we hate to beat a dead horse, volatility can feed over into equity selling, and that very equity selling can drive volatility (you get the point).**

EURODOLLAR MARKET

As the dollar became the global reserve currency, a market for offshore dollars developed for the expedience of global trade. In came the Eurodollar market – a market facilitating banks' borrowing/lending of dollars outside of the US. Since the GFC, the offshore dollar funding markets (a.k.a. the Eurodollar markets) have morphed into what is essentially a US dollar *"short squeeze"* (as Jeffrey Snider, CIO of Alhambra Partners coined it), generated by a scarcity of dollars among banks and corporations doing business offshore denominated in dollars, who transact in dollars, and owe debts in dollars, but cannot access sufficient reserves or time deposits due to a shortage of dollars out there.

Was synchronized global growth merely a hiatus in this trend for covering 'short' dollars that will now be exacerbated by the Fed's balance sheet run-off?

A shortage of USD in offshore markets means demand for US dollars has to rise or you have a failing counterpart currency in the short-term. In the long-term, **that's when the devil gets paid.**

But now, a geopolitical incentive that wants to shift away from such heavy reliance on the USD and US Treasuries means these debts that the US has built for so long, well...suddenly, *they do matter.*

China and Russia both seek to reduce their dollar reserve requirements. For them, reliance on the dollar is a chronic problem that must be solved and has morphed into a national security issue. Thus, they are moving in several directions, both to increase the supply of dollars at their disposal and to simultaneously decrease dollar demand – for example – by repricing Russian oil exports going to China in CNY.

Does China have the capacity to support the yuan in global trade, given its current financial situation and a serious distrust among creditor nations? They are attempting to address some of these latter issues with plans for financial liberalization.

BACK TO THE DXY...

The bottom-line here is that having the USD as the global reserve currency maybe unsustainable, but for now, there is no viable replacement for the USD as the global reserve currency.

According to Real Vision Contributor Variant Perception, the USD's performance is related to the US's performance relative to the rest of the world. **Trade tensions could be the catalyst for a stronger USD...**

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THE SPOTLIGHT

A focus on this week's two contributors and what they've been saying – and why it's a must-read on markets.

THINGS THAT MAKE YOU GO HMMM

Grant Williams, a keen student of history, markets, politics, and, above all, human nature, casts a sardonic but insightful eye over the world of finance and attempts to make sense of an ever-crazier landscape. He uses history to make comparisons to the investment quandaries of today, which makes for an engaging and intellectual read that integrates philosophical ideas and game theory seamlessly with economics, supported by his deep understanding of the underpinnings of human nature.

LAST TIME AROUND...

Grant took us through a variety of topics, ranging from the bankruptcy of the world's oldest bank, Banca Monte dei Paschi di Siena, to the absurd mechanisms with which European technocrats operate.

> *"Traders seem to have convinced themselves that the ECB will always be there with a comfort blanket."*

Grant discussed the complexity of China's economic policy:

> ***"There is no shortage of threads to be woven together to try and understand the broader tapestry [that is China]."***

WHAT ABOUT RIGHT HERE, RIGHT NOW?

Grant picks up on one of his favorite topics, Tesla. Is it approaching bankruptcy? The Wardenclyffe Tower is an analogy to Elon Musk and Tesla today.

> *The unraveling of Elon Musk's visionary enterprise has been an incredible slow motion demolition job which has been happening in full view of the market and which will be seen as the poster child for the age of ZIRP*

In addition, Grant highlights a series of articles that have piqued his interest from Chinese Financial Reforms, global vanilla (pod) shortages, the upending of the major cable TV giants and much, much more.



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Stray Reflections

Jawad Mian of Stray Reflections provides global macro research and trading ideas that leverage his firm's core understanding of history, politics, economics, and psychology. Jawad has proven over time that a balance of common sense, strong logic, and objective data coupled with a little right-brain intuition and lots of curiosity makes for a good macro manager.

LAST TIME AROUND...

Our last meeting with Jawad was in April of 2017, when Jawad noted that the popular narrative that most participants thought to be driving the markets was confused, as investors had incorrectly anchored the start of the so-called "reflation theme" to November on expectations of Trump's pro-growth agenda, when in reality November's price action was simply a continuation of an upward trend that started much earlier in the year, in part driven by higher oil prices.

> *"Contrary to popular perceptions, this implies underlying reflationary trends are more mature and prone to a reversal in the near term."*

Jawad further noted that:

> *"the net speculative short position in 10-year US Treasurys has never been this high, which is bullish from a contarian standpoint (supports highs in yields)."*

WHAT ABOUT RIGHT HERE, RIGHT NOW?

Jawad makes the case for further gains in the equity markets, despite the recent breakdown in the technology sector, Facebook scandals, and Trump protectionism. Jawad views the net short position on the Nasdaq 100 future, the 'least long' since 2011, as a bullish contrarian indicator and advises to trade against the speculation. Jawad cites his analysis of historical periods in which the market showed a similar constellation of "soft" signals, including times that follow a peak in the ISM and years in which a new Fed Governor takes over, which leads him to believe it would be a mistake to be selling around the February lows, when the profit cycle is intact and there are no signs it is coming to an end.

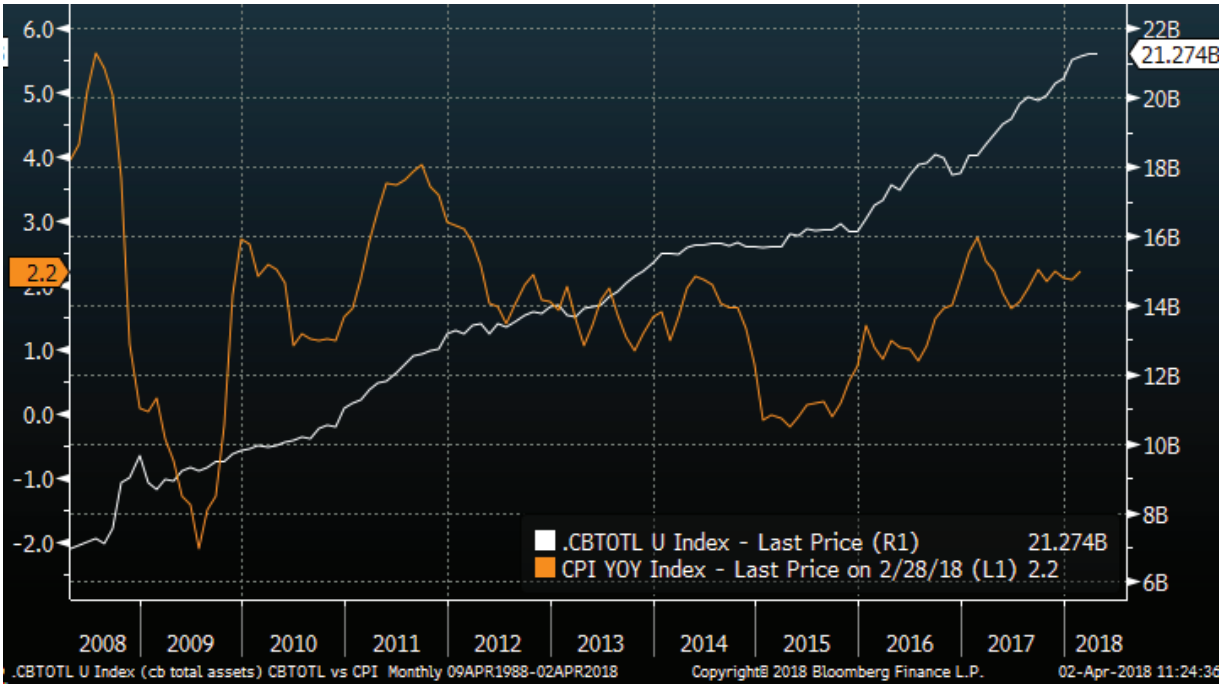


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ON THE RADAR

In the last report outlining the bond bull and bear camps, we noted the limited impact that balance sheet expansion has exerted on inflation (using US CPI as proxy).

COMBINED CENTRAL BANK BALANCE SHEET EXPANSION AND US INFLATION



Source: RV TT & Bloomberg

Why did such a large amount of credit have so little impact and why did the velocity of money remain subdued? Today, we're going to give you a hard and fast conceptual framework – it didn't work when they implemented it, it certainly didn't work as they were doing it and it still doesn't work today.

There are the 4 D's of Destruction at play in the U.S., Europe, Japan, the UK, and China:

1) Demographics
2) Debts
3) Deflation
4) Delusion

The fourth D was added later to reflect the mass delusion, largely among central bankers themselves, who pushed it onto the masses. The masses eventually became disillusioned, voting in 'alternative' (populist) leaders in many geographies.

So, in last week's edition the question was asked, with all this money injection, why did we see no change in money velocity?

Simple. We are amidst a secular decline in economic growth, **driven largely by a shift in population demographics from a group of baby boomers to new retirees entering the Medicare system every 9 seconds. As people get older and enter retirement age, spending patterns change tremendously.**

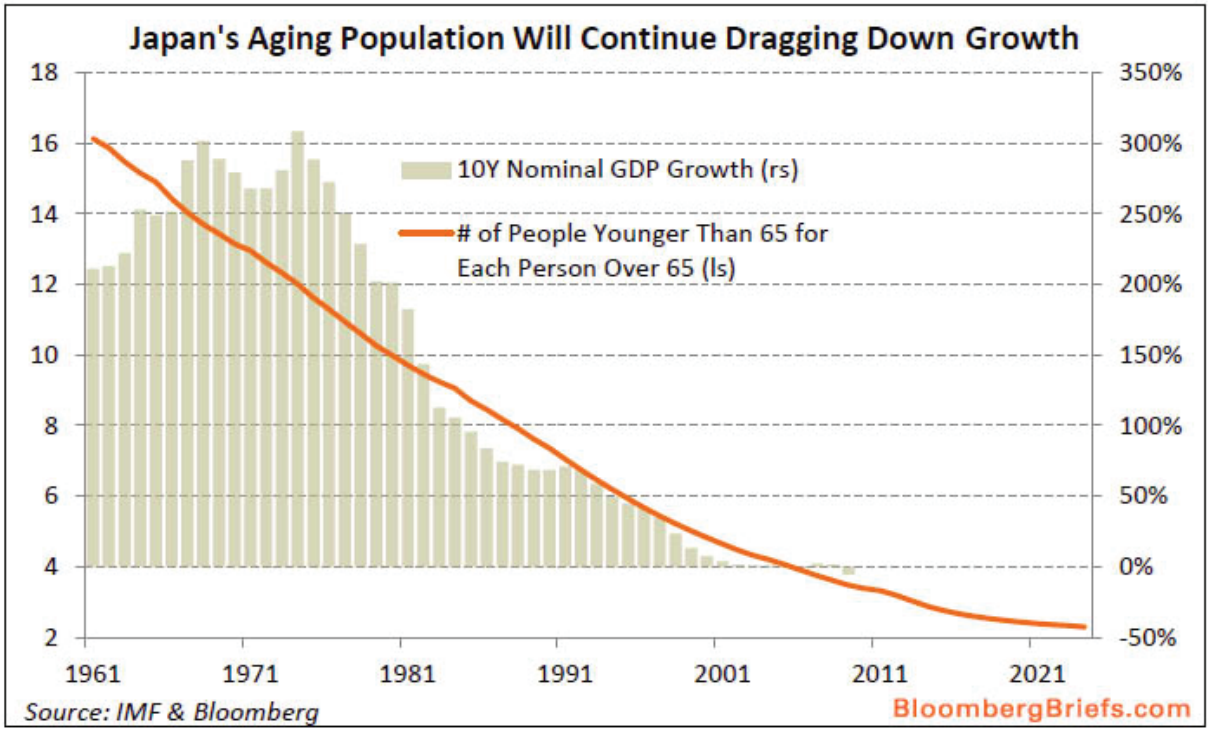
If you understand the influence of shifting demographics on the velocity of money and thus the equation of exchange, it becomes clear as day: **Demographics are Destiny.** As populations age, a rising share of the group heads into retirement. Consumption and spending patterns at this stage shift from being stimulative (spending) to pulling liquidity out of the system. Think of Grandpa, driving the same old car he's had since retirement 20 years ago, with that same checkered shirt, and if he's advanced, he might have a 2004 Nokia flip phone he can't figure out how to use. Now compare that to yourself and your existing spending habits.

The case can be made that US inflation, and subsequently interest rates, are in secular decline. The same case, that of poor demographics driving disinflationary pressures, lower growth, and lower rates can be made for each of the other countries in the G4.

Just like we can't fight gravity and fly, central banks and governments can't fight demographics and win.

JAPANIFICATION: ECONOMICS 101

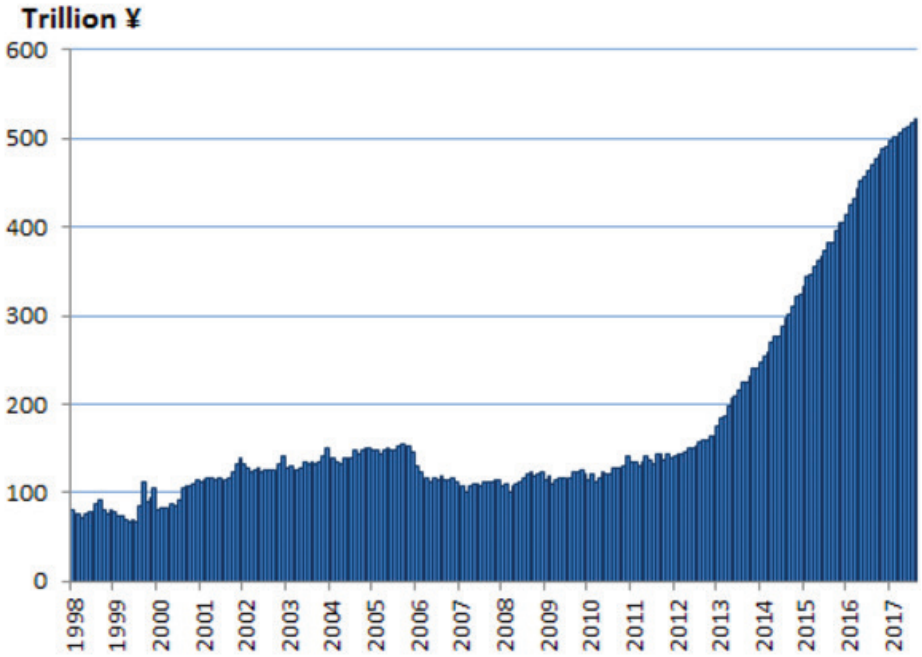
This graph tells a story of an aging population mired in a continuous miasma of declining growth.....



.....while engaging in massive amounts of quantitative easing, including the purchases of mortgage-backed securities, equity ETF's, etc., illustrated on the next page:

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BANK OF JAPAN TOTAL ASSETS



Source: Bank of Japan

If that is the case, unlike in the 1987 experience, then today ISM should head back toward 50 if equities correct further from here. Energy may be vulnerable, but there should still be a lag. Russia has been rotating away from energy dependence anyway, and it remains underowned. It still has a high beta, but its key drivers have been undergoing change.

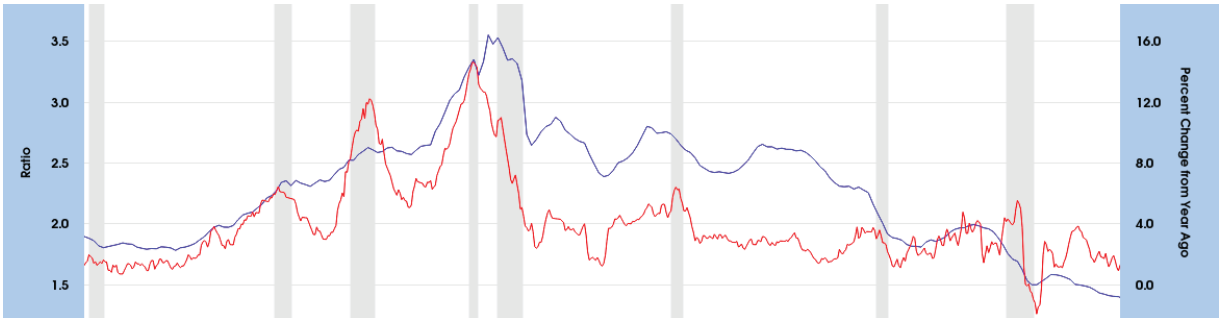
Just a few weeks ago, the Japanese set out to issue lots of new borrowings in JGBs. There was not a single bidder. Not one.

Despite the growth in its balance sheet from around 100 trillion yen in the late 1990s to over 500 trillion yen 20 years' later, Japan's real GDP growth was completely stagnant.

Japan makes the Fed look like a poster-child for fiscal rectitude. **The non-productivity of marginal spending by the BoJ in its efforts to drive growth failed due to a natural decline in the velocity of money, which comes with bad demographics.**

The Japanese experience gives many valuable lessons to the U.S., Europe, China, and the UK.

The US faces the same demographic challenges, albeit with a little lag. Despite a $4 trillion expansion of the Fed's balance sheet over the last 8 years, the US, still had stagnant growth and no major inflation (as reflected by 10-year Treasury yields). There was also a clear correlation between the declining velocity of money and the CPI:



Source: Bank of Japan

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Since the velocity of money is a key to the equation of exchange, the continuous decline in the velocity of money will tend to keep US rates or inflation low, limit Fed Chair Powell's ability to tighten, and likely means that in the near-term, the bond market will remain stable. With velocity constant or declining, the ability of the Fed to decrease money supply substantially without dire consequences is highly limited. The growth in money supply has been falling. We believe Powell likely accepted the torch from Janet Yellen as she handed over the Yellen Put, but given his hawkish comments he's likely negotiated a lower strike.

POWELL'S OTHER CHALLENGE

US pensions are dramatically underfunded, and the problem has only become more pronounced as time goes on (naturally, as our population ages). With no cuts in benefits, Federal Tax Revenues would have to rise to contribute an incremental 8.1% of GDP, this year, next year, and in perpetuity to fully fund Medicare and social security. And, considering equity valuations are as lofty as they are today, these pension funds should be forecasting no greater than 3-4% forward rates of return.

Too rapid tightening of the balance sheet and its impact on market liquidity would likely lead to a major sell-off in equity markets, which has the power to essentially collapse all major public and private pensions. Ergo, Greenspan, Bernanke, and Yellen engaged in "Roach Motel" monetary policy as they call it - Powell will discover that once you get in, you can never leave.

Welcome to the Hotel California...

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P.S.

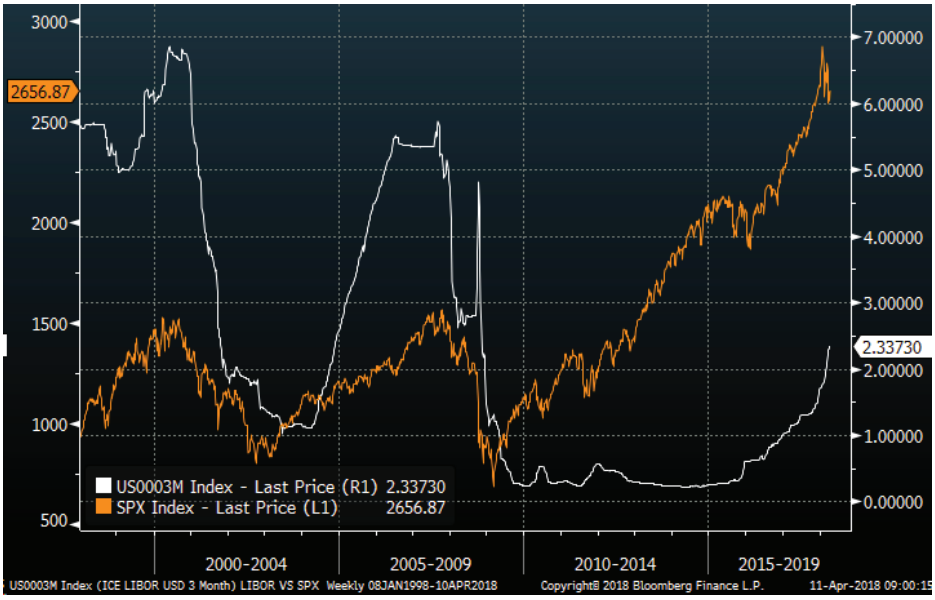
It would be unfair to leave you without throwing in this tasty morsel for you to think about...

We keep talking about LIBOR (the London Interbank Offered Rate), the rates that banks lend to one another (wholesale money) in the international interbank market and a key benchmark reflecting how much it costs banks to borrow from each other, but we have left you empty without any ideas on how one might capitalize on its latest ascent.

A steady ascent in LIBOR has unsurprisingly preceded almost every major modern financial crisis:

- 1987: LIBOR jumped >200 bps from 1986 to its peak in 1987.
- Dot-Com Bubble: LIBOR rose from 5% to roughly 6.8% at its peak in September 2000.
- GFC: From 2003 through 2006, LIBOR was screaming an important message – banks are in trouble! LIBOR rose steadily over the period as leverage built and pervaded the system: beginning at only 110 bps at the end of March 2003, it rose 4.4% to reach a peak of 5.5% in June 2006. Since then, except an intermittent jump between March and September 2008, LIBOR has been steadily declining – but this decline ended in September 2014, and since the benchmark has risen steadily with a strong pickup recently to today's 2.337%.

LIBOR VS. S&P 500: 1998-PRESENT



Source: RV TT & Bloomberg

Reviewing LIBOR by itself over its long history reveals that the benchmark may still have significant room to rise before potentially triggering a slide in the S&P 500. We checked out the ETF world to find a play on rising LIBOR. The VelocityShares Long LIBOR ETN (ULBR) has followed LIBOR, but has lagged the performance of the index and the benchmark. Despite this, if you feel that rising LIBOR will be the trigger for further market jitters, the VelocityShares (1x, or greater if you're a risk-taker) Long LIBOR ETN may provide a decent pre-hedge.

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